



Australian
Competition &
Consumer
Commission

24 June 2010

Statement of Issues — Swift Australia Pty Ltd – proposed acquisition of Rockdale Beef Pty Ltd

1. Outlined below is the Statement of Issues released by the Australian Competition and Consumer Commission (**ACCC**) in relation to the proposed acquisition of Rockdale Beef Pty Ltd (**Rockdale**) by Swift Australia Pty Ltd (**Swift**) (**proposed acquisition**).
2. A Statement of Issues published by the ACCC is not a final decision about a proposed acquisition, but provides the ACCC's preliminary views, drawing attention to particular issues of varying degrees of competition concern, as well as identifying the lines of further inquiry that the ACCC wishes to undertake.
3. In line with the ACCC's *Merger Review Process Guidelines* (available on the ACCC's website at www.accc.gov.au) the ACCC has established a secondary timeline for further consideration of this matter. The ACCC anticipates completing further market inquiries by 6 July 2010 and anticipates making a final decision on 22 July 2010. However, the anticipated timeline can change in line with the *Merger Review Process Guidelines*. To keep abreast of possible changes in relation to timing and to find relevant documents, market participants should visit the Mergers Register on the ACCC's website at www.accc.gov.au/mergersregister.
4. A Statement of Issues provides an opportunity for all interested parties (including suppliers, customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Background

5. On 31 March 2010, Swift approached the ACCC seeking the ACCC's views in relation to the proposed acquisition.

The parties

Swift

6. Swift is a wholly owned subsidiary of JBS S.A. (**JBS**). JBS is a large meat processor based in Brazil and listed on the Sao Paulo stock exchange. In Australia, Swift operates a vertically integrated meat processing and beef feed lot business. That is, it operates at two stages of the supply chain for the production of meat products – meat processing and feed lot operations.
7. In Australia, Swift owns and operates the following meat processing plants:
 - In Queensland, four beef processing plants located in Townsville, Rockhampton, Dinmore (near Brisbane) and Beef City (near Toowoomba) respectively;
 - In Victoria, one beef processing plant located in Yarrawonga (closed), a multi-species processing plant for beef, veal, lamb and mutton in Brooklyn, and a multi-species processing plant for veal, lamb and mutton in Cobram;
 - In Tasmania, one beef processing plant located on King Island, a multi-species processing plant for beef, veal, lamb and mutton in Longford, and a multi-species processing plant for beef, veal, lamb, mutton and pig in Devonport; and
 - In South Australia, a sheep and mutton processing plant located in Bordertown.
8. Swift owns and operates five beef feedlots, one in each of Toowoomba and Mungindi in Queensland, and one in each of Caroona, Griffith and Burraboi in New South Wales.

Rockdale

9. Rockdale is jointly owned by Renod Holdings Pty Ltd (a subsidiary of Itoham Foods Inc) (**Itoham**) and MC Meats Rockdale Pty Ltd (**MC Meats**) (a subsidiary of Mitsubishi Corporation). Both Itoham and the Mitsubishi Corporation are based in Japan.
10. Rockdale operates a vertically integrated meat processing and beef feed lot business in Australia. It owns a single co-located beef feedlot and beef processing plant located in Yanco, New South Wales. Its facilities are used only for beef products.

Industry background

11. The vast majority of cattle are located along the eastern seaboard of Australia. Together, Queensland, New South Wales and Victoria account for approximately 80 per cent of the national herd.

12. Cattle are bred and raised by farmers on pasture. After an initial period, cattle may continue to be pasture fed on farm or transferred to a feedlot for finishing on grain-based feed. Younger and lighter cattle, referred to as feeder cattle, may be sold to feedlots or to backgrounders or restockers for further fattening.
13. Backgrounders are cattle producers who purchase feeder cattle to be further fattened on pasture. Backgrounders may elect to feed cattle on grass and then sell them to feedlot operators for further fattening on grain or sell to abattoirs. Restockers often purchase feeder cattle to increase the size of their herd after times of significant turnoff such as drought.
14. Lot feeding is an intensive production system designed to fatten cattle on grain-based feed. A feedlot is a confined yard area with watering and feeding facilities where cattle are completely hand or mechanically fed for the purpose of production.¹ As at April 2010, there were 711,198 cattle being fattened on lot feed.² Currently, the industry has the capacity to lot feed over 1 million cattle at any one time.³
15. Fat cattle (either grass fed or finished on grain), being older and heavier cattle which have met the desired weight specifications and other characteristics, may be purchased by processors for beef processing or processed on behalf of third parties under a service kill arrangement. Processors may undertake a number of stages in beef processing including slaughter, hide removal, boning, packaging and freezing or chilling of meat for supply to domestic or export customers.
16. A number of abattoirs exist throughout eastern Australia including abattoirs for beef and for small animals such as lamb, veal, pork and goat. Some abattoirs focus only on beef or smaller animals while others are designed to slaughter both large and small animals. Beef abattoirs may produce 'hot bone' beef or produce beef that has been cooled before it is processed. Hot bone beef production involves boning the beef carcass immediately after slaughter before the carcass has been cooled. Hot bone beef is usually produced in separate facilities to cold cut processing.
17. In 2009-10, approximately 8.8 million cattle are expected to be slaughtered which will produce approximately 2,200 kilo tonnes of beef.⁴ Australia is a net exporter of beef. The level of export varies with domestic production and overseas demand.

Other industry participants

18. On the eastern seaboard of Australia, there are a number of significant beef processors who compete with Swift and Rockdale including Teys, Cargill and Nippon. A number of beef abattoirs compete for the acquisition of fat cattle and sell processed beef in competition to Swift and Rockdale, but do not operate feedlots.

¹ CSIRO, *National Guidelines for Beef Cattle Feedlots in Australia (second edition)*, p10.

² Australian Lot Feeders' Association, *ALFA/MLA Feedlot Survey*, 21 April 2010.

³ IbisWorld, *Beef Cattle Farming in Australia*, December 2009, p17.

⁴ IbisWorld, *Beef Cattle Farming in Australia*, December 2009, p4.

19. There are also a number of other large feedlot operators located on the eastern seaboard, including Rangers Valley, Teys, Cargill, Elders, Nippon and Mort & Co, as well as a large number of smaller feedlot operators. There are around 600 accredited feedlots within Australia, the majority of which are located in areas that are in close proximity to cattle and grain supplies.⁵

Market inquiries

20. On 8 April 2010, the ACCC commenced market inquiries regarding the proposed acquisition. A range of interested parties were consulted, including other feedlot operators, cattle producers, meat processors, buyers of wholesale meat products and industry associations.

With/without test

21. In assessing a merger pursuant to section 50 of the *Trade Practices Act 1974*, the ACCC must consider the effects of the transaction by comparing the likely competitive environment post-acquisition if the transaction proceeds (the “with” position) to the likely competitive environment if the transaction does not proceed (the “without” or “counterfactual” position) to determine whether the acquisition is likely to substantially lessen competition in any relevant market.
22. The ACCC has not yet reached a concluded view as to what it considers to be the likely counterfactual in this matter. The ACCC notes that some market participants have suggested that if Swift does not acquire Rockdale then the Rockdale business will close, while others submitted that it will be acquired by a competitor to Swift and be run more effectively than it currently is.
23. In the event that the proposed acquisition does not proceed and the Rockdale business were to close, the ACCC must assess the likelihood of these assets remaining in the market and whether they may be utilised to provide effective competition in the relevant markets in the future.
24. Market participants to date have indicated that the Rockdale facility is highly regarded in the industry and has a number of key attributes including; the size of the feedlot and abattoir, its feedlot and abattoir being co-located, its feedlot and abattoir being well designed and well maintained, the facility being located on a large area of land that also produces crops for use in the feedlot, the facility being located in an area that has access to grain and other resources for its feedlot as well as being located in a region where high numbers of high quality cattle are produced. In addition, market inquiries have suggested that there may be a number of interested buyers for Rockdale.
25. Given the information provided in market inquiries to date, for the purposes of this Statement of Issues, the ACCC has adopted a preliminary approach of examining the proposed acquisition in the context of a counterfactual that in the event that Swift does not acquire Rockdale, an alternative bidder is likely to acquire the assets of Rockdale, either as a going concern or as a disused facility,

⁵ Australian Lot Feeders’ Association, available at <http://www.feedlots.com.au>.

and continue to operate the facility independent of Swift. However, the ACCC requires further information to assess this issue.

26. The ACCC seeks comments from interested parties on the appropriate counterfactual(s) to be considered relevant to the ACCC's assessment of the proposed acquisition.

Relevant markets

27. The key areas of competitive overlap between the operations of Swift and Rockdale relate to the operation of beef feedlot facilities and beef processing plants. Both merger parties acquire feeder cattle (younger and lighter cattle) for feedlots, acquire fat cattle (older and heavier cattle) for processing, and are wholesale suppliers of processed beef.
28. On the basis of market inquiries to date, the ACCC's preliminary view is that the relevant markets in relation to the proposed acquisition are likely to be the following separate but related markets:
 - A market for the acquisition of feeder cattle, extending from central New South Wales into Victoria;
 - A market for the acquisition of fat cattle, extending from central New South Wales into Victoria; and
 - A national or east coast market for the wholesale supply of processed beef.
29. In this regard, the ACCC is still considering aspects of the appropriate product and geographic dimensions of the relevant markets prior to forming a concluded view on market definition in this matter. The ACCC's findings to date and issues for further consideration are outlined in more detail below.

Markets for the acquisition of feeder and fat cattle

Product dimension

30. Cattle acquired for finishing on grain are typically referred to as feeder cattle. Feeder cattle are generally younger and lighter than fat cattle. Feedlot operators acquire feeder cattle for further fattening on grain prior to slaughter.
31. Fat cattle (either grass fed or finished on grain), are typically older and heavier cattle. Based on certain livestock attributes such as age, weight and quality, fat cattle are typically considered as being ready for immediate slaughter.
32. Market inquiries to date indicate that feeder cattle, being younger and lighter cattle, are not generally ready for slaughter and are not close substitutes for fat cattle. In particular, feeder cattle need to be fattened over a period of time before they can be considered as suitable for slaughter.
33. On this basis, the ACCC considers that there are likely to be separate markets for the acquisition of feeder cattle and the acquisition of fat cattle respectively.

34. In the market for acquisition of feeder cattle, inquiries to date indicate that feedlot operators compete against backgrounders and restockers to acquire feeder cattle from cattle producers. However, inquiries to date indicate that backgrounders and restockers may not be strong substitutes. These issues are considered in more detail below.
35. In the market for acquisition of fat cattle, inquiries to date indicate that beef processors compete to acquire fat cattle from feedlot operators, backgrounders, and in some circumstances, direct from the farm gate.
36. The ACCC is also considering whether the market for the acquisition of fat cattle should instead be considered in the context of separate markets for the acquisition of fat cattle for hot bone beef production and the acquisition of fat cattle for cold cut beef production respectively. Market inquiries have indicated that separate abattoirs are generally used to process hot bone beef or cold cut beef and may acquire different types of fat cattle. In particular, inquiries to date have indicated that hot bone beef production facilities tend to acquire lower quality product than cold cut beef processors. For the purposes of this Statement of Issues, and on the basis of information to date, the ACCC has considered hot bone and cold cut abattoirs are likely to compete within a single market for the acquisition of fat cattle. However, the ACCC seeks further comments on the degree to which hot bone abattoirs and cold cut abattoirs represent close substitute buyers for fat cattle producers.

Geographic dimension

37. Market participants suggest that cattle producers prefer to transport cattle the shortest possible distance to minimise transport costs and potential damage to livestock. Transport costs include not only the direct cost of transporting cattle, but also the cost of having the cattle lose weight during transit, as well as potential bruising or other damage. Cattle producers generally bear the cost of transport.
38. Inquiries to date indicate that the distances over which cattle are transported are generally defined by a number of factors including the type of cattle (feeder or fat), the cost of transport relative to the value of cattle being transported, and the location of potential acquirers of cattle relative to the cattle farms that supply them.
39. Some market inquiries suggested that cattle producers often transport both feeder or fat cattle significant distances in some instances. The ACCC understands that vertically integrated operators such as Swift transport cattle greater distances.
40. Further, the ACCC understands that particular seasonal conditions (e.g. drought) or particular times of the year when certain regions turnoff cattle in greater or fewer numbers, can impact the distances over which cattle are transported.
41. However, market inquiries suggested that in normal conditions most cattle travel less than 500 kilometres to feedlots or abattoirs. Broadly, this area encompasses those regions south of Dubbo in New South Wales and into Victoria.

42. The ACCC notes that market inquiries also suggest that the geographic scope of markets for the acquisition of feeder cattle may be broader than the geographic scope of markets for the acquisition of fat cattle. As feeder cattle tend to be younger and lighter they are generally more easily moved, have time to recover from the effects of transportation in a feedlot, and may have lower transport costs.
43. In contrast, fat cattle which are ready for immediate slaughter are more prone to any loss of condition in transport, the cost of which is generally discounted from the price the cattle producer receives, and may have increased transportation costs.
44. Accordingly, while the ACCC considers on the basis of the information to date that there is likely to be a regional market for the acquisition of feeder cattle extending from central New South Wales into Victoria and a similar scope to the market for the acquisition of fat cattle, the ACCC will further consider the appropriate geographic scope of the relevant markets. The ACCC will consider further whether the relevant markets may be defined more broadly or narrowly, and in particular, whether the geographic scope of fat cattle acquisition markets should be defined more narrowly than the geographic scope of feeder cattle acquisition markets.

Supply of processed beef

Product dimension

45. Market inquiries suggest that there is a market for the wholesale supply of processed beef to retailers of beef products.
46. Inquiries to date indicate that small livestock (e.g. veal, sheep, lamb or pig) facilities cannot be readily converted to process beef without significant additional investment in new plant and equipment. Accordingly, there is unlikely to be close substitution between processors of small livestock with processors of beef.
47. In addition, the ACCC considers that other meats or other food products are not sufficiently substitutable for processed beef to competitively constrain a small but significant increase in the price of beef.
48. Therefore, the ACCC's preliminary view is that there is a market for the wholesale supply of processed beef.

Geographic dimension

49. Market inquiries to date suggest that processed meat is regularly transported between the eastern seaboard states of Australia and exported internationally, confirming the ease with which processed meat is transported very significant distances. However, inquiries also suggest that there are significantly higher transportation costs for the supply of processed beef from the east coast to Western Australia.

50. The ACCC proposes to consider the market for processed beef in the eastern states of Australia. If there are no competition concerns in this market, then there are unlikely to be any competition concerns if a national market were considered as Swift and Rockdale do not have interests in Western Australia.

Comments are sought from interested parties in relation to market definition

The ACCC invites interested parties to comment on the issues which are outlined above and any other issues you consider are relevant including:

- Information which evidences how particular seasonal conditions (e.g. drought or following periods of significant rainfall) impact upon the distances over which feeder and fat cattle are transported.
- Data on transportation costs and how these differ between feeder and fat cattle.
- Any research or studies conducted in relation to the transportation of cattle, including any resulting loss of condition or quality of cattle due to transportation.

Statement of issues

51. The issues in this matter are divided into two categories, 'issues that may raise concerns' and 'issues unlikely to pose concerns'. The ACCC is inviting information from interested parties in relation to each of these issues and any further competition issues they believe may be raised by the proposed acquisition.

Issues that may raise concerns

Acquisition of feeder cattle

52. The ACCC considers that the proposed acquisition may raise competition concerns in the market for the acquisition of feeder cattle in the region extending from central New South Wales into Victoria.
53. In particular, the ACCC is concerned that the proposed acquisition will result in increased market concentration within the region and remove Rockdale as a significant competitor to Swift and other market participants for the acquisition of feeder cattle. This could have the effect of forcing down or otherwise distorting the prices paid by the merged entity for the acquisition of feeder cattle. Nevertheless, the ACCC notes that post-merger, there may be some continuing competitive constraints on the merged entity, and seeks to investigate these issues further, prior to forming a view on whether the transaction is likely to result in a substantial lessening of competition.

Increased market concentration

54. If the acquisition proceeds, Swift would be the largest single buyer of feeder cattle in the relevant market and would have an increased market concentration of feedlots proximate to each other in New South Wales. As indicated above, Swift presently owns and operates three feedlots in New South Wales, two of which are in the relevant geographic market. These two feedlots are located in Griffith and Burraboi. The addition of Rockdale's feedlot located in Yanco would increase the number of feedlots owned and operated by Swift in the relevant market to three.
55. In particular, if the acquisition proceeds, Swift would hold two of the largest feedlots in the market; namely Rockdale's feedlot in Yanco and Swift's feedlot in Griffith, being approximately 100 kilometres apart from each other. Swift's other feedlot in Burraboi is also relatively close to Rockdale's feedlot. Combined, these three feedlots would give Swift a total feedlot capacity of approximately 100,000 head of cattle. The next largest competitor in the market would have feedlot capacity of approximately 20,000 head of cattle.
56. Other larger competitors within the market include Cargill at Wagga Wagga, Ravensworth Feedlot at Hay, Hell's Gate at Balranald and Charlton at Yeungroon. There are also a large number of other competitors with a capacity of 5,000 head or less.

Ability of smaller feedlots to provide an effective competitive constraint

57. While the ACCC notes that a large number of smaller feedlots and other smaller acquirers of feeder cattle would continue to exist post-acquisition, the proposed acquisition would remove one significant independent buyer from the market.
58. Even though there are a number of smaller feedlots which acquire feeder cattle, large competitors with significant scale may be important as vigorous price leaders or in otherwise signalling non-price factors of competition in the market. As such, even though there may be a reasonably large number of smaller feedlots these may not be sufficient, either as a single feedlot or as a collective, to effectively constrain Swift post-acquisition.
59. The ACCC is further examining the extent to which smaller feedlots would be likely to provide an effective competitive constraint post-acquisition.

Available substitutes from backgrounders and restockers

60. The ACCC has received mixed views about the extent to which backgrounders and restockers compete with feedlots for the acquisition of feeder cattle. Market inquiries suggest that the strength of competition imposed by backgrounders and restockers varies due to seasonal and other market conditions. For example, in recent years cattle producers have experienced periods of drought and these adverse conditions have resulted in reduced stocking rates as farmers have been forced to sell more cattle. In this context, it appears that cattle producers may have a greater reliance on vigorous competition between lot feeders at certain times to ensure competitive pricing on a continuing basis.

61. Accordingly, the ACCC considers that feedlots appear to be each others closest competitors for the acquisition of feeder cattle as they require a continual supply of cattle all year round, regardless of seasonal conditions. Backgrounders and restockers appear to be more distant competitors.
62. The ACCC is further examining the extent to which backgrounders and restockers would be likely to competitively constrain the merged entity post-merger.

Barriers to entry and expansion

63. The ACCC considers that barriers to entry for the provision of feedlots are high. Market inquiries to date indicate that:
 - the cost of constructing feedlots is high and a large portion of the construction costs are sunk;
 - feedlots require a number of regulatory approvals (e.g. environmental, planning and development) which may take a long period of time to satisfy;
 - there may be some benefits to obtaining economies of scale; and
 - there is significant overcapacity in the industry increasing the business risk and uncertainty surrounding the returns on sunk investment costs.
64. For a new entrant to provide lot feeding services on a comparable scale to Rockdale or Swift, market inquiries suggest that barriers to entry are significant.
65. The ACCC is continuing to gather information about barriers to entry and expansion. In particular, the ACCC is further examining the extent to which there are barriers to expansion for existing lot feeders and whether any such expansion would provide an effective competitive constraint on the merged entity in the relevant market.

Comments are sought from interested parties in relation to feedlots and the related acquisition of feeder cattle

The ACCC invites interested parties to comment on the issues which are outlined above and any other issues you consider are relevant to the competition effects of the proposed acquisition in relation to the acquisition of feeder cattle including:

- Information evidencing the extent to which backgrounders and restockers compete with feedlots for the acquisition of feeder cattle, and the extent to which such competition is limited to particular seasons or limited due to other factors;
- Details of the costs, including which costs are sunk, and time required to construct a new, or expand an existing feedlot;
- Details of the minimum efficient scale required for a new entrant to enter and operate a feedlot business; and
- Information which evidences the extent to which smaller feedlots compete with larger feedlots such as Swift and Rockdale.

Acquisition of fat cattle

66. The ACCC considers that the proposed acquisition may raise competition concerns in the market for the acquisition of fat cattle in the region extending from central New South Wales into Victoria.
67. In particular, the ACCC is concerned that the proposed acquisition will result in increased market concentration and remove Rockdale as a significant competitor to Swift and other market participants as a beef processor, and could have the effect of forcing down or otherwise distorting the prices paid by the merged entity, post-merger, for the acquisition of fat cattle. Nevertheless, the ACCC notes that post-merger, there may be some continuing competitive constraints on the merged entity, and seeks to investigate these issues further, prior to forming a view on whether the transaction is likely to result in a substantial lessening of competition.

Market concentration

68. If the proposed acquisition proceeds, it will result in the aggregation of two significant competitors with beef processing facilities in the relevant market.
69. While the ACCC understands that Rockdale is at times not a significant buyer of fat cattle due to the fact that it processes feeder cattle raised in its own feedlot, it does acquire fat cattle and also processes fat cattle on behalf of third parties. Further, any future acquirer of the Rockdale business may acquire significant numbers of fat cattle to supply its abattoir, depending on how the owner decides to operate the business.

70. Furthermore, demand for feeder cattle is derived from demand for fat cattle. Market inquiries suggest that the use of forward contracts by processors for the future acquisition of fat cattle can influence the prices that feedlots or other operators are willing to pay for feeder cattle in advance of raising them to fat cattle status. As a vertically integrated acquirer of feeder cattle Rockdale may provide an indirect competitive constraint on non-integrated acquirers of fat cattle. In order to obtain a sustained supply of fat cattle, independent processors will need to provide independent feedlots with a competitive margin over the price of feeder cattle, the latter being directly constrained by the vertically integrated Rockdale. Accordingly, the ACCC considers that any increased concentration at the processor level is a relevant consideration in terms of assessing the market structure for the acquisition of fat cattle.
71. The ACCC is also investigating the extent to which beef processing facilities compete on an equal footing. Based on market inquiries to date, the ACCC understands that hot bone beef processing facilities may not provide a strong competitive constraint on other facilities that chill their meat before it is cut. Inquiries to date suggest that hot bone facilities target lesser quality cattle which attract a lower price than premium cattle, the meat from which is used as manufacturing or grinding beef.
72. The ACCC is further examining the extent to which abattoirs with hot boning facilities are likely to be a strong competitive constraint on other beef processors, including the merged entity post-merger.

Availability of substitutes

73. The ACCC notes the presence of a number of beef processors in the identified market including Cargill, Midfield Meat, Monbeef, HW Greenham, Teys and T&R. The ACCC is further examining the extent to which these and other processors would be likely to competitively constrain the merged entity, either through existing facilities or by expansion.

Barriers to entry and expansion

74. The ACCC considers that barriers to entry for the provision of abattoirs are high. Market inquiries to date indicate that:
- the cost of constructing abattoirs is high and a large portion of the construction costs are sunk;
 - abattoirs require a number of regulatory approvals (e.g. environmental, planning and development) which may take a long period of time to satisfy;
 - there may be some benefits to obtaining economies of scale; and
 - there is significant overcapacity in the industry increasing the business risk and uncertainty surrounding the returns on sunk investment costs.
75. For a new entrant to provide beef processing services on a comparable scale to Rockdale or Swift, market inquiries suggest that barriers to entry are significant.

76. The ACCC is further examining the likelihood of entry or expansion into beef processing in the event of a small but significant decrease in price. This is relevant as any reduction in competition for beef processing may in turn impact competition for the acquisition of fat cattle in the relevant regional market.

Comments are sought from interested parties in relation to beef processing and the related acquisition of fat cattle

The ACCC invites interested parties to comment on the issues which are outlined above and any other issues you consider are relevant to the competition effects of the proposed acquisition in relation to beef processing and the related acquisition of fat cattle including:

- Information which evidences the extent to which abattoirs with hot boning facilities compete with other beef processing facilities which chill their meat before it is cut;
- Whether there would be any entity likely to sponsor new entry on the scale necessary to be a vigorous competitor to the merged entity (for example, a party which may use a third party abattoir under service kill arrangements);
- Any evidence of countervailing power, including arising from the ability of cattle producers to bypass the merged entity by establishing their own processing facilities or sponsoring entry;
- Details of the costs, including which costs are sunk, and time required to construct or expand an existing abattoir;
- Details of the minimum efficient scale required for a new entrant to enter and operate an abattoir; and
- The extent of any indirect constraint provided by the vertically integrated Rockdale on the prices of fat cattle.

Issues unlikely to pose concerns

Supply of processed beef

77. Based on information available to date, the ACCC considers that the proposed acquisition is unlikely to result in a substantial lessening of competition in the market for the supply of processed beef.
78. In assessing the competition effects in this market, the ACCC's preliminary view is that the merged entity would continue to be competitively constrained by existing competitors such as Teys, Nippon, HW Greenham, Cargill and a number of others. Accordingly, the ACCC considers that Swift would not have the ability and incentive to impose a unilateral increase in the price for the supply of processed beef, post-acquisition.

79. However, the ACCC welcomes any comments from interested parties regarding its preliminary findings in this regard. The ACCC will further consider this market if it considers that such an assessment is warranted.

ACCC's future steps

80. The ACCC will finalise its view on this matter after it considers market responses invited by this Statement of Issues.
81. The ACCC now seeks submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter.
82. Submissions are to be received by the ACCC no later than Tuesday 6 July 2010. The ACCC will consider the submissions received from the market and the merger parties in light of the issues identified above and will, in conjunction with information and submissions already provided by the parties, come to a final view in light of the issues raised above.
83. The ACCC intends to publicly announce its final view by 22 July 2010. However the anticipated timeline may change in line with the *Merger Review Process Guidelines*. A public Competition Assessment for the purpose of explaining the ACCC's final view may be published following the ACCC's public announcement.